Chapter 3

Analysing Earnings and Revenue

Earnings and revenue are fundamental indicators of a company's financial performance. In this chapter, we will explore key metrics related to earnings and revenue analysis, providing investors with tools to assess a company's profitability, growth potential, and overall financial health.

3.1 Earnings per Share (EPS)

Earnings per Share (EPS) are a critical metric that measures the profitability of a company on a per-share basis. It is calculated by dividing the net income by the average number of outstanding shares during a specific period. EPS is a key indicator for investors, as it reflects the portion of a company's profit attributable to each share of its common stock. Higher EPS generally indicates stronger profitability, making it a valuable metric for assessing a company's financial health.

3.2 Price-to-Earnings Ratio (P/E)

The Price-to-Earnings Ratio (P/E) is a widely used valuation metric that compares a company's current share price to its earnings per share. It is calculated by dividing the market price per share by the EPS. The P/E ratio provides insights into how the market values a company's earnings. A higher P/E ratio may indicate that investors expect higher future growth, while a lower ratio may suggest undervaluation or lower growth expectations.

3.3 Sales and Revenue Growth

Sales and revenue growth are essential indicators of a company's ability to increase its market share and generate increasing profits over time. Investors closely monitor revenue growth rates to assess a company's overall health and its competitiveness within the market. Analysing the